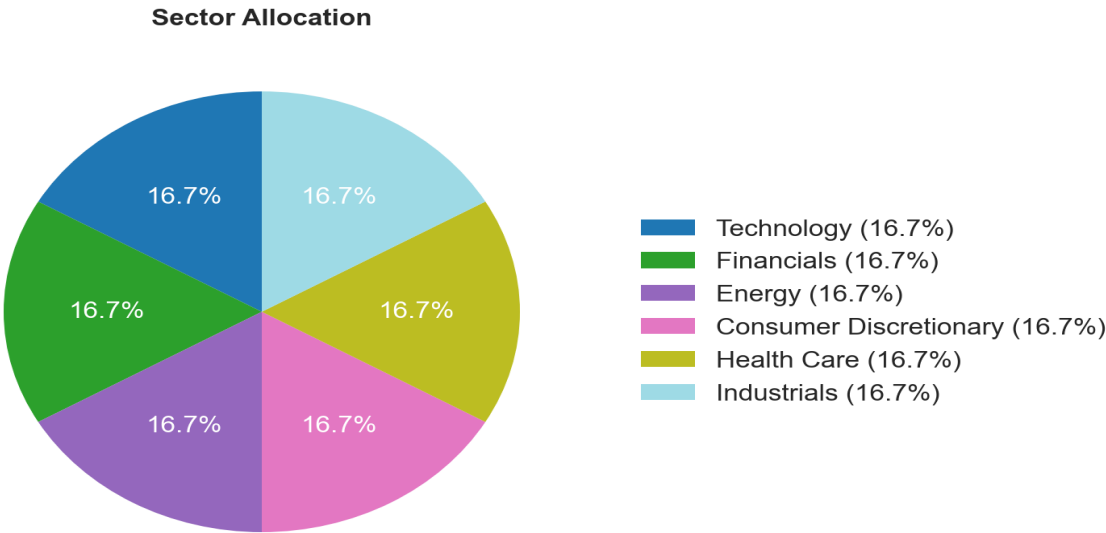


Portfolio rotation report

Date of extraction	2025-12-08 20:49
Data window	2025-09-15 → 2025-11-28
Frequency	Daily — 54 observations. Short-term indicators: OK . Long-term indicators: Unavailable (insufficient historical depth).
Tickers	XLE, XLF, XLI, XLK, XLV, XLY
Indicators	Short term: 5 days volatility, 10 days return, 16 days momentum Long term: 12 days volatility, 20 days return, 48 days momentum

1. Portfolio Composition

- XLK (Technology Select Sector SPDR Fund — Technology)
- XLF (Financial Select Sector SPDR Fund — Financials)
- XLE (Energy Select Sector SPDR Fund — Energy)
- XLY (Consumer Discretionary Select Sector SPDR Fund — Consumer Discretionary)
- XLV (Health Care Select Sector SPDR Fund — Health Care)
- XLI (Industrial Select Sector SPDR Fund — Industrials)



Macro Profile Insight

Macro coverage

- Balanced diversification: exposure to most macroeconomic drivers.

Sectorial biases

- Concentration risk: strong bias toward large caps, stability achieved at the cost of diversity.

Structural properties

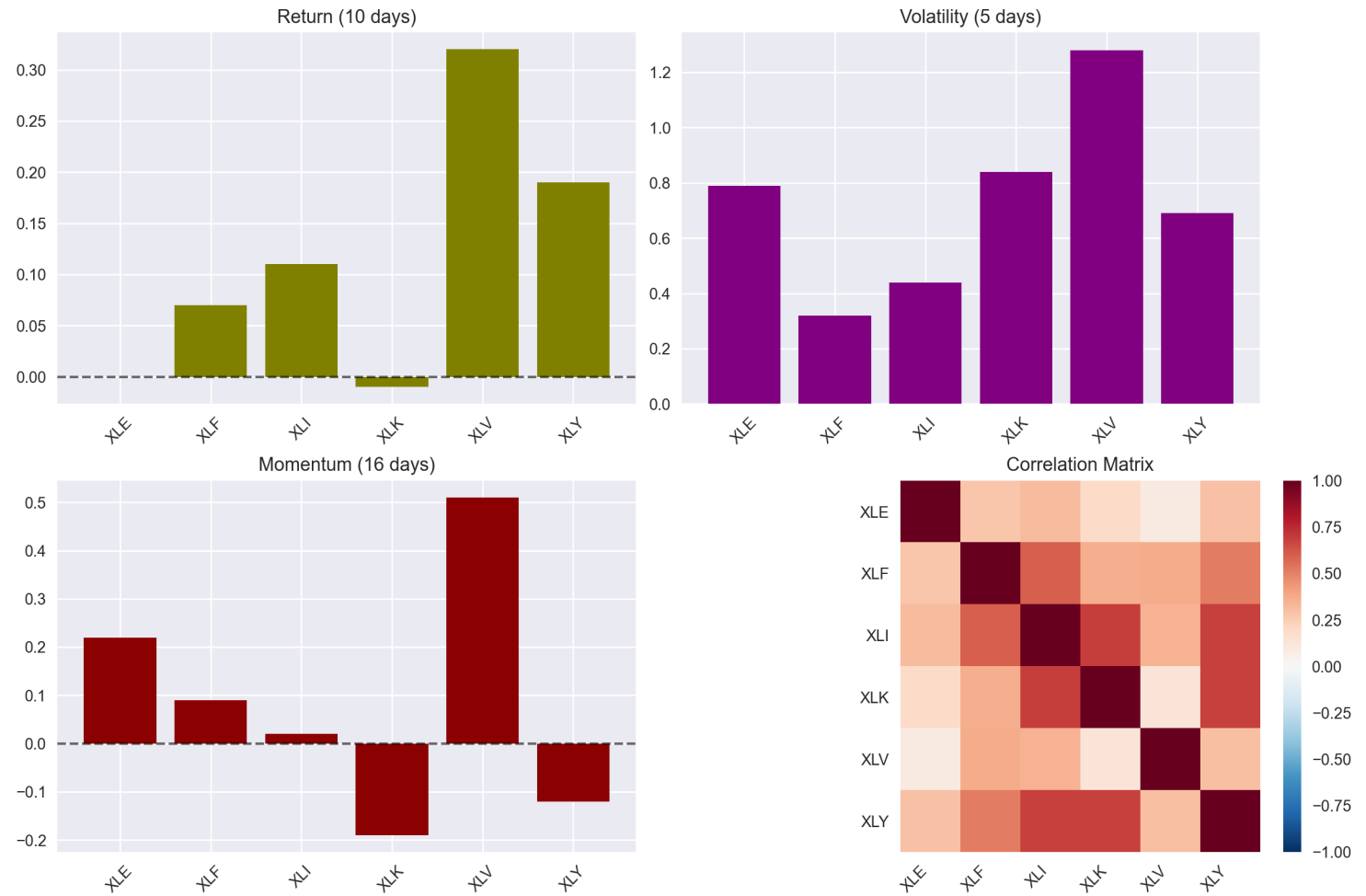
- Concentration risk: portfolio heavily exposed to etf instruments.
- Liquidity stance: pockets of thin/illiquid names; robust median dollar volume.
- Market-neutral beta exposure: close alignment with index dynamics.
- Volatility profile skewed to dynamic/speculative names.

Additional comments

- Significant sector gaps: broad portions of the economy remain uncovered.

2. Sector Performance Visualization

Sector Performance Dashboard



Overall, average cross-sector correlation was 0.39, ranging from 0.09 to 0.69. This suggests elevated co-movement — diversification benefits are partially reduced. Correlation dispersion remains meaningful, indicating both tightly and weakly linked sectors. Strongest co-movement between XLI and XLK (0.69); weakest between XLE and XLV (0.09). Mixed regime: both market-wide and sector-specific forces are at play.

Top Positive Correlations
80.0% of portfolio

Pair	Correlation
XLI / XLK	0.69
XLI / XLY	0.68
XLK / XLY	0.68
XLF / XLI	0.6
XLF / XLY	0.51

Top Neutral Correlations
20.0% of portfolio

Pair	Correlation
XLE / XLV	0.09
XLK / XLV	0.13
XLE / XLK	0.19

3. Key Performance Indicators

3.a Current Regime Snapshot

Ticker	R (%)	V (%)	RAR	M (%)	Signal	Regime	Liquidity	Commentary
XLE	-0.00	0.79	-0.004	0.22	neutral	subdued	liquid	mixed short-term dynamics, signal unclear or in transition, low volatility — calm market tone, with ample liquidity.
XLF	0.07	0.32	0.204	0.09	neutral	subdued	thin	mixed short-term dynamics, signal unclear or in transition, low volatility — calm market tone, under limited liquidity.
XLI	0.11	0.44	0.249	0.02	neutral	subdued	thin	mixed short-term dynamics, signal unclear or in transition, low volatility — calm market tone, under limited liquidity.
XLK	-0.01	0.84	-0.015	-0.19	neutral	normal	thin	mixed short-term dynamics, signal unclear or in transition, normal volatility regime, under limited liquidity.
XLV	0.32	1.28	0.248	0.51	neutral	normal	thin	mixed short-term dynamics, signal unclear or in transition, normal volatility regime, under limited liquidity.
XLY	0.19	0.69	0.275	-0.12	neutral	normal	thin	mixed short-term dynamics, signal unclear or in transition, normal volatility regime, under limited liquidity.

Top by Average Return

Ticker	AvgReturn(%)
XLV	0.32
XLY	0.19
XLI	0.11
XLF	0.07
XLE	-0.0

Top by Volatility

Ticker	Volatility(%)
XLV	1.28
XLK	0.84
XLE	0.79
XLY	0.69
XLI	0.44

Top by Momentum

Ticker	Momentum(%)
XLV	0.51
XLE	0.22
XLF	0.09
XLI	0.02
XLY	-0.12

Last by Average Return

Ticker	AvgReturn(%)
XLK	-0.01
XLE	-0.0
XLF	0.07
XLI	0.11
XLY	0.19

Last by Volatility

Ticker	Volatility(%)
XLF	0.32
XLI	0.44
XLY	0.69
XLE	0.79
XLK	0.84

Last by Momentum

Ticker	Momentum(%)
XLK	-0.19
XLY	-0.12
XLI	0.02
XLF	0.09
XLE	0.22

■ Light-impact observations

For **XLE, XLF, XLI**: *Volatility compression* — subdued volatility; a breakout setup may be forming. (avg ann. return 0.1%, momentum 0.1%, vol 0.5%)

For **XLK, XLV, XLY**: *Range / noise* — no clear direction; rotating momentum and mid-range volatility. (avg ann. return 0.2%, momentum 0.1%, vol 0.9%)